Alphabet Inc.

GOOGL NASDAQ

Buy	$288.15 ▲ 1.18%	12M Price Target	52-Week Range	Market Cap
		$340.00	$270.70 – $408.61	$3.54T

GOOGL: Chip Business Outpacing Nvidia, AMD Deal Seals It

WHAT HAPPENED

- Big story: Nvidia is having a terrible day (-4%) because of a weird scandal around CEO Jensen Huang's alleged ties to a Chinese spy — and the market is reading that as "time to diversify away from Nvidia." GOOGL is one of two obvious winners (the other being AMD, which just landed a Google Cloud deal for their EPYC chips in a new AI security system).
- The Yahoo Finance piece calling out "Google's chip business is on a faster track than Nvidia's own AI boom" is the narrative shift bulls have been waiting on for 18 months — GOOGL's TPUs (their in-house AI chips) are finally getting credit as a real alternative, not just a science project.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

The elephant in the room is the DOJ antitrust case — the remedies phase is still being litigated, and the worst-case outcome (forced Chrome divestiture) would be a real hit, though most legal analysts now think it gets watered down to data-sharing requirements. On the tailwind side, the administration's "American AI Dominance" framework continues to favor domestic chip development — Google's TPUs made in partnership with Broadcom qualify, which could mean federal AI procurement dollars flow their way. Also watch the EU: the Digital Markets Act enforcement is ramping up and any new fines (they've been running $2-5B a pop) could pressure the stock on headline risk even though they don't dent earnings much.

IS IT EXPENSIVE?

At $288, you're paying about 29x next year's earnings — meaning $29 for every $1 of profit the company will make in 2026. That's a premium to the S&P 500 (~22x) but actually CHEAP compared to Microsoft (~33x) and way cheaper than Nvidia (~40x) despite GOOGL arguably having better AI optionality now. The stock is only at 13% of its 52-week range ($270-$408), which tells me there's a lot of room to run if the narrative keeps shifting in their favor.

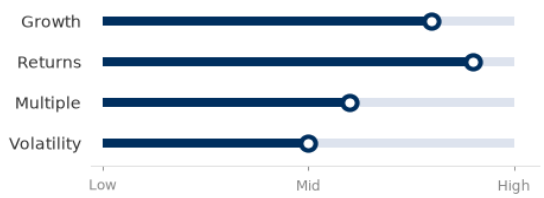
WHAT COULD GO WRONG

- DOJ antitrust ruling on remedies — if the judge forces structural breakup (Chrome or Android spinoff), this stock takes a 15-20% hit on the news regardless of long-term logic

Key Data

Price (USD)	**$288.15**
12M Price Target	**$340.00**
Upside / (Downside)	**+18.0%**
Market Cap	**$3.54T**
FY2026E Revenue	**$405M**
FY2027E Revenue	**$465M**
FY2026E EPS	**$9.85**
FY2027E EPS	**$11.70**
Fwd P/E	**29.3x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

GOOGL — Alphabet Inc. | November 09, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$305.00**	$295.00	**$272.00**
6 Months	**$340.00**	$315.00	**$260.00**
1 Year	**$380.00**	$340.00	**$250.00**
2 Years	**$450.00**	$390.00	**$240.00**
5 Years	**$650.00**	$500.00	**$300.00**
10 Years	**$1100.00**	$800.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+7% over 5 days) is on fire — this is GOOGL's home sector and it's leading the market, which tells you money is flowing into mega-cap ad/platform names. Industrials and Tech both up big today on the broader risk-on move.

COOLING OFF: Nvidia-adjacent semiconductor names are getting repriced lower as the "only Nvidia matters" trade unwinds — any pure-play AI chip name without diversification is vulnerable.

ROTATION WATCH: Money is rotating from Nvidia into the "AI infrastructure diversifiers" — GOOGL, AMD, and to some extent AVGO (which makes Google's TPUs). This is a multi-week theme, not a one-day event.

RELATED PLAY: AVGO (Broadcom) is the sneaky second-order play — they're Google's TPU manufacturing partner, so every dollar Google spends scaling TPUs is a dollar in Broadcom's pocket. Also Fervo (mentioned in news with $12B in geothermal orders) is worth noting because hyperscalers like Google are the ones signing those power deals to feed data centers.

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): Just landed the Google Cloud EPYC deal AND got a Wall Street upgrade — they're the direct beneficiary of "diversify away from Nvidia"
- AVGO (Broadcom): Quiet winner of Google's TPU expansion — every TPU chip Google makes flows through Broadcom

GOOGL CONTEXT: GOOGL is leading its mega-cap peer group this week on the chip narrative, but it's still only +1.18% today while the broader tech sector is +3.73% — meaning it's actually LAGGING the sector move today. That suggests those bearish put trades are capping upside near-term. Once that options expiry clears (Nov 21), I'd expect the stock to break out if nothing else goes wrong.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: $278-285 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: DOJ forces Chrome/Android divestiture OR cloud growth drops below 25% YoY

Hedging: Small NVDA long as counterweight; or buy Jan put spreads for earnings insurance

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.